Fundamental Analysis: Step-by-step

Step-1: Politico-Economic Analysis

1. Politico-economic factors affect an industry and a country.
2. Stable political environment necessary for steady, balanced growth.
3. International events impact industries and companies.
4. Countries need foreign exchange reserves to meet its commitments, pay for imports and service foreign debts.
5. The possibility of the devaluation of one's currency / the appreciation of another currency is a real risk. One can hedge this by entering into forward contracts.
6. Restrictive practices or cartels imposed by countries can affect companies and industries. Investors must determine how sensitive a company is to governmental policies and restrictive policies.
7. Foreign debt can be an enormous burden which would eat into a company's results.
8. Inflation erodes purchasing power. Low inflation indicates stability and companies prosper at such times.
9. Low interest and taxation rates stimulate investment and industry.
10. Domestic savings can accelerate economic growth.
11. Development of a country is dependent on its infrastructure.
12. Budgetary deficits resulting from excess governmental spending stimulate the economy. It also gives rise to increasing demand and increasing inflation.

Economic Cycle

1. Business or economic cycle has direct impact on industry and individual companies. It affects investment decisions, employment, demand and profitability.